

Infosys Limited (INFY)

NSE: INFY | BSE: 500209 | NYSE: INFY

Fundamental Deep Dive · Report Date: 16 June 2026

DEEP DIVE ANALYSIS

Educational Use Only

Rs.1,180

CMP (Jun 9, 2026)

Rs.4.63L Cr

Market Cap

16.2x

P/E Ratio (TTM)

Below 5Y Avg ~24x

5.12x

P/B Ratio

Rs.1,728 /
Rs.1,089

52-Week High / Low

0.00x

Debt-to-Equity

Debt-Free

27.9%

ROE (FY25)

Good (>15%)

35.9%

ROCE (FY25)

Excellent

1. Business Overview & Competitive Moat

Infosys Limited, founded in 1981 and headquartered in Bengaluru, is India's **second-largest IT services company** by revenue (behind TCS). It serves over 1,800 clients across 56 countries, providing consulting, technology outsourcing, and next-generation digital services including AI/ML, cloud migration, cybersecurity, and ERP transformation.

Moat Factor	Assessment	Strength
Client Stickiness	Long-term multi-year contracts; high switching costs in ERP/cloud migrations	High
Brand & Scale	2nd largest Indian IT; recognized globally; trusted by Fortune 500 clients	High
AI Platform (Topaz)	Proprietary AI suite; strategic differentiator for enterprise clients	Medium-High
Talent Base	3.1 lakh+ employees; Infosys BPM, subsidiaries add breadth	Medium
Deal Pipeline	Record-high TCV of \$17.7B in FY24; \$4.1B in Q1 FY25 alone	High

Key segments: Financial Services (~27%), Manufacturing (~17%), Retail (~15%), Energy (~12%), Hi-Tech (~13%), Life Sciences (~9%). Geographic mix: ~60% Americas, ~26% Europe, ~14% Rest of World.

Recent strategic moves: Partnership with Anthropic for enterprise AI (announced June 2026); collaboration with ExxonMobil on AI cooling infrastructure; acquisition of in-tech (embedded engineering) in FY25. Infosys Topaz AI platform is being actively cross-sold to existing clients, improving deal sizes.

2. Valuation Analysis

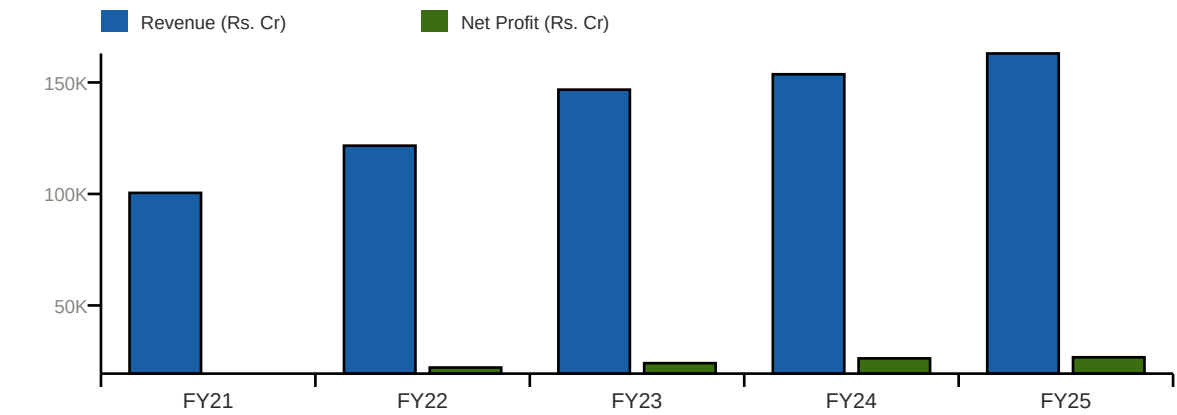
Metric	Current	5Y Median	Sector Avg (IT)	Verdict
P/E (TTM)	16.2x	~22x	~24x	Cheap vs History
P/B	5.12x	~7.5x	~6x	Fair-to-Cheap

EV/EBITDA	14.6x	~16x	~17x	Fair
P/S	~3.0x	~4.1x	~4x	Cheap
Dividend Yield	4.1%	~2.5%	~2%	Attractive

Valuation Verdict: Cheap vs its own history. The stock is trading at a significant discount to its 5-year median P/E of ~22x, primarily due to near-term growth concerns and macro headwinds (US IT spend caution, tariff uncertainty). The elevated dividend yield of 4.1% provides partial downside cushion. The stock is down ~30% over one year, which has compressed valuation multiples substantially below long-run averages.

3. Growth Analysis

Revenue & Net Profit — 5-Year Trend (Rs. Crore)



Metric	FY21	FY22	FY23	FY24	FY25	3Y CAGR	5Y CAGR
Revenue (Rs.Cr)	1,00,472	1,21,641	1,46,767	1,53,670	1,62,990	3.6%	10.2%
Net Profit (Rs.Cr)	19,423	22,146	24,108	26,248	26,750	3.5%	6.6%
EPS (Rs.)	45.61	52.52	57.63	63.39	64.50	3.8%	7.2%
Op. Margin (%)	26.7%	24.9%	22.9%	23.7%	23.3%	—	—
Net Margin (%)	19.3%	18.2%	16.4%	17.1%	16.4%	—	—

Growth assessment: Slowing but positive. Revenue CAGR has decelerated from a peak 5Y CAGR of ~20% (FY20–22 boom) to ~3.5% in the last 3 years — reflecting industry-wide caution in tech spending. However, Q1 FY25 showed a strong sequential recovery (+3.6% QoQ, CC) and Q3 FY25 accelerated to +6.1% YoY in CC, suggesting the trough may be behind. Margins have stabilised in the 20-21% EBIT band, aided by Project Maximus (cost optimisation programme).

Quarterly EPS Trend (Rs.) — Last 5 Quarters

Quarter	Mar 2024	Jun 2024	Sep 2024	Dec 2024	Mar 2025
EPS (Rs.)	19.25	15.38	15.71	16.43	16.98
Net Profit (Cr)	7,975	6,374	6,516	6,822	7,038

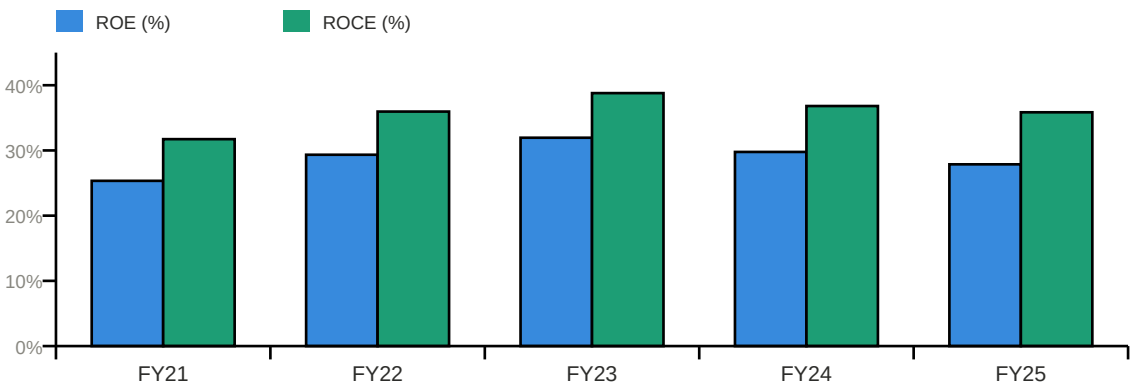
■ EPS dipped sharply in Jun 2024 due to higher tax provisions; sequential recovery through FY25 is encouraging. Verify latest quarters at [screener.in](#) — figures may have updated.

4. Financial Health

Metric	FY25	FY24	FY23	Interpretation
Debt-to-Equity	0.00x	0.00x	0.00x	Debt-free — exceptional balance sheet
Current Ratio	2.27x	2.31x	1.81x	Comfortable (>1.5x)
Quick Ratio	2.27x	2.31x	1.81x	Very healthy
Interest Coverage	102.9x	87.5x	133.2x	No debt risk whatsoever
FCF (Rs. Cr)	~29,600	~23,865	—	Growing strongly (+24% YoY est.)
Cash & Equivalents	\$2.9B	\$2.5B	—	Net cash positive
CFO (Rs. Bn)	357	252	—	CFO up 41.6% YoY — excellent

Health verdict: Exceptional. Infosys is completely debt-free, generating robust free cash flow, and holds a net cash surplus of ~\$2.2B. FCF conversion in Q1 FY25 was 143% of net profit — indicating working capital efficiency improvement. The company returned Rs. 43/share as dividend in FY25 (payout ratio ~68.5%), reflecting capital discipline and shareholder friendliness.

5. Return Ratios (ROE & ROCE)



Metric	FY21	FY22	FY23	FY24	FY25	3Y Avg	Verdict
ROE (%)	25.3	29.3	32.0	29.8	27.9	29.9%	Good (>15%)
ROCE (%)	31.7	36.0	38.8	36.8	35.9	37.2%	Excellent
ROA (%)	17.9	18.8	19.2	19.0	17.9	18.7%	Strong

Returns verdict: Consistently strong. ROE has averaged ~29.9% over 3 years — well above the 15% benchmark for quality companies. ROCE of ~36% reflects the asset-light business model with near-zero capex and high profit conversion. The marginal decline from FY23 peaks is primarily driven by increased cash accumulation on the balance sheet (depressing asset turnover), not profitability deterioration.

6. Shareholding & Ownership Patterns

Shareholder Category	Approx. Holding	Trend	Notes
Promoters	14.4%	Stable-declining	Low but stable; no pledging reported

Foreign Institutional (FII)	~34%	Monitoring	Key sentiment driver; tracks USD/INR & US tech outlook
Domestic Institutions (DII)	~18%	Increasing	Mutual funds & LIC adding on dips
Public / Retail	~33%	Stable	Broad retail participation

■ Promoter holding is low at 14.4% — typical for mature MNC-heritage IT cos but worth monitoring. No promoter pledging reported. Verify latest quarter data on trendlyne.com or NSE filings.

FII ownership (~34%) makes Infosys sensitive to global risk-off events, USD-INR movements, and US tech spending cycles. DII flows (especially mutual fund SIPs) have been providing support on declines. Institutional ownership above 50% collectively signals continued institutional confidence.

7. Peer Comparison

Company	Mkt Cap	P/E	P/B	ROE	ROCE	Rev CAGR 3Y	D/E	Div Yield
Infosys (INFY)	Rs.4.63L Cr	16.2x	5.1x	27.9%	35.9%	3.6%	0.00	4.1%
TCS	~Rs.11L Cr	21.8x	~12x	~52%	~58%	~8%	0.00	~3.5%
HCL Tech	~Rs.3.5L Cr	24.8x	~6x	~22%	~28%	~12%	~0.05	~3.5%
Wipro	~Rs.2.1L Cr	~18x	~3x	~15%	~18%	~4%	~0.1	~0.2%
Tech Mahindra	~Rs.1.2L Cr	~30x	~4x	~12%	~14%	~5%	~0.1	~2%

■ Peer figures are approximate — cross-check with Screener.in/Tickertape for latest numbers.

Where Infosys leads: Dividend yield (highest among top 3), valuation (cheapest P/E in top tier), debt-free balance sheet, FCF generation. **Where it trails TCS:** Market cap, ROE (TCS asset-light model gives ~52% ROE), revenue scale. **Where it leads HCL/Wipro:** Margin profile, client quality, large deal wins, ROCE.

8. Strengths, Risks & Key Metrics to Watch

Key Strengths

- ✓ Completely debt-free with Rs.2.9B+ net cash — fortress balance sheet
- ✓ ROCE >35% over 5 years — exceptional capital efficiency
- ✓ Record large deal wins: \$17.7B TCV in FY24; strong pipeline into FY25
- ✓ Proprietary AI platform (Topaz) differentiating from peers in GenAI wave
- ✓ High dividend payout (~68%) with 4.1% yield — rewards shareholders
- ✓ Global client base across 56 countries — diversified revenue
- ✓ Project Maximus driving structural margin improvement

Key Risks & Watch-Points

- Revenue growth slowing: 3.6% CAGR in 3 years vs historical ~15-20%
- FII heavy ownership (~34%) — vulnerable to global risk-off events
- US macro uncertainty & tariff concerns impacting client IT budgets
- Promoter holding low at 14.4% — alignment concern for some investors
- Margin pressure from wage hikes, AI tool investments, visa costs
- Attrition, though improving, remains a structural IT sector concern
- Net profit margin declined from 19.3% (FY21) to 16.4% (FY25) — watch for stabilisation

9. Overall Fundamental Quality Assessment

Dimension	Rating	Comments
Business Quality	Strong	Sticky clients, strong moat, growing AI positioning
Financial Health	Excellent	Zero debt, current ratio 2.27x, \$2.9B cash
Return Quality	Strong	ROE 27.9%, ROCE 35.9% — consistently above peers
Growth Momentum	Moderate	Decelerating but Q3 FY25 reacceleration is encouraging
Valuation	Cheap vs History	P/E 16.2x vs 5Y median ~22x; attractive dividend yield
Management Quality	Strong	Salil Parekh-led team; cost discipline; shareholder-friendly
Governance	Good	No promoter pledging; clean audit; listed on NYSE with SEC filings
Overall	MODERATE-STRONG	High quality franchise at a cyclically compressed valuation

Fundamental Quality: MODERATE-STRONG

Infosys is a high-quality, cash-rich, debt-free IT franchise with strong return ratios and a robust deal pipeline. Near-term growth has slowed due to macro headwinds, but the structural drivers (AI, cloud, digital transformation) remain intact. The stock has de-rated significantly from peak valuations, making the current risk-reward profile fundamentally interesting for a long-term view. Key metrics to watch: large deal TCV trend, CC revenue growth trajectory, and operating margin trajectory under Project Maximus.

Data Confidence: Moderate-High

Core financial figures (revenue, profit, EPS, FCF, margins) sourced from official SEC filings and Moneycontrol/Screener. Share price and P/E ratios as of June 9, 2026 from Tickertape. Peer data is approximate — verify independently.

Data Sources: SEC EDGAR (Infosys 6-K filings), Screener.in, Tickertape, Moneycontrol, Equitymaster, GuruFocus, StockTitan

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